



ECO4109Z - Accounting for Portfolio Managers

Test 2

INSTRUCTIONS TO CANDIDATES

- Do not open this paper until instructed to do so.
- No student is to leave the test venue during the last 20 minutes of the exam.
- A blue or black pen must be used throughout your answer. Work done in pencil or using Tippex will not be marked.
- The invigilators will answer no content-related questions during the examination. Make whatever assumptions you deem appropriate and clearly state these in your answer. Any reasonable assumption will be considered.

The duration of this test paper (as indicated in the table below) includes appropriate reading time.

Question	Marks	Time
1	10	15 minutes
2	30	45 minutes

This paper consists of 6 pages including this cover page.

QUESTION 1

(10 marks: 15 minutes)

State whether the following statements are 'true' or 'false'. If the statement is false, provide a reason for your answer.

1. When an asset is leased by Business A to Business B, Business A is called the 'lessee', and Business B is called the 'lessor'. ^X
2. Judgments or estimates are required to be made when preparing the statement of comprehensive income but not when preparing the statement of cash flows. ^{SOCI} _{SOCF}
3. Gross profit is another name for profit before tax.
4. Contracts with customers need to be inspected for whether there are multiple performance obligations. If there are, the transaction price needs to be allocated to each of these obligations and recognised as revenue when the individual performance obligations are satisfied.
5. Moving cash from a bank account to an investment account that can be accessed with three months' notice will not appear as a cash flow on the statement of cash flows.
6. If a business does not grow its total cash and cash equivalents consistently every year, it is a problem.
7. The term 'cash generated from operations' (CGFO) will appear on the statement of cash flows regardless of whether the direct or indirect method is used. ^{SOCF}

1. F. Business B = lessee
Business A = lessor

2. T ✓

3. T X F

4. F. Recognised as rev. upon payment X T

5. T. ✓

6. F. ✓ cash is not a measure of performance we could be paying off a loan which is good

7. T. ✓

QUESTION 2

(30 marks: 45 minutes)

Astral is one of South Africa's leading integrated poultry producers. Their key activities comprise manufacturing of animal feeds, broiler genetics, production and sale of day-old chicks and hatching eggs, breeder and broiler production, abattoir and further processing operations and sales and distribution of various key poultry brands. During the 2023 financial year, the group experienced significant operational difficulties due to load shedding and an outbreak of bird flu.

You are required to answer the questions below relating to the Group results for 2023. Refer to the appendix for extracts from their financial statements.

SOCI

1. Astral's Consolidated Statement of Comprehensive Income reports 'cost of sales' of R17.38 billion for 2023. Briefly describe the contents of this item. (2 marks)
2. Explain how Astral's basic loss per share figure of 1 333 cents has been calculated. (2 marks)
3. Discuss the extent to which Astral's borrowings affected its profits in 2023. (3 marks)
4. Describe how Astral's cash flows changed during the current year. (4 marks)
5. The Consolidated Statement of Cash Flows has been prepared using the indirect method. What would this Consolidated Statement of Cash Flows look like had it been prepared using the direct method? (3 marks)
6. Why is there both a 'tax expense' in the Statement of Comprehensive Income and a 'tax paid' amount shown in the operating activities section of the 2023 Statement of Cash Flows? (*Hint: Explain what is included in both these amounts*) (4 marks)
7. Explain how the 'inventories' balance in the Consolidated Balance Sheet would impact the Consolidated Statement of Cash Flows. (3 marks)
8. Explain the impact of leased assets on the financial statements:
 - a. Consolidated Balance Sheet (3 marks)
 - b. Consolidated Statement of Comprehensive Income (2 marks)
 - c. Consolidated Statement of Cash Flows (1 mark)
9. In 2023, did Astral report any gains or losses arising from translating its foreign operations into Rand? If so, how much and where? (3 marks)

1. This is the cost of all goods sold/disposed of *from core operating acts*
2.
$$\frac{\text{no. of issued shares}}{\text{Total comp. inc}} \downarrow \text{ (loss)}$$
3. Borrowings would not have an effect on profit except through Finance expense
4.
 - They made loss of 600k
 - paid far less tax (4Tk)
 - They bought more PPE, incurred way more on intangibles & didn't receive dividends
 - They didn't pay div to non-controlling owners & sold some of their treasury shares
 - held no assets for sale & had an overdraft of 1B

Appendix – Extracts from the Financial Statements of Astral Group

Consolidated Balance Sheet

at 30 September 2023

	Notes	GROUP		COMPANY	
		2023 R'000	2022 R'000	2023 R'000	2022 R'000
Assets					
Non-current assets					
Property, plant and equipment	11	3 153 235	3 002 712		–
Intangible assets	12	42 034	41 947		–
Right-of-use assets	14	251 512	288 817		–
Goodwill	15	120 536	120 536		–
Financial assets at fair value through other comprehensive income	16	97 755	94 431		–
Investments at cost	16	–	–	233 997	233 997
		3 665 072	3 548 443	233 997	233 997
Current assets					
Biological assets	17	1 047 569	1 245 888		–
Inventories	18	1 895 247	1 178 496		–
Trade and other receivables	19	1 789 390	1 708 292	–	4 091
Current tax asset		5	33 840	5	–
Cash and cash equivalents	20	713 436	723 350	92 687	42 547
		5 445 647	4 889 866	92 692	46 638
Total assets		9 110 719	8 438 309	326 689	280 635
Equity					
Capital and reserves attributable to equity holders of the Company					
Ordinary shares	21	429	429	429	429
Share premium	21	89 971	89 971	89 971	89 971
Other reserves	22	(33 825)	21 139		–
Treasury shares		(262 829)	(277 464)		–
Retained earnings		4 225 717	4 951 932	188 120	142 261
Total equity		4 019 463	4 786 007	278 520	232 661
Liabilities					
Non-current liabilities					
Deferred tax liabilities	23	520 137	777 830		–
Employee benefit obligations	24	103 397	127 029		–
Leases	14	181 589	231 302		–
		805 123	1 136 161	–	–
Current liabilities					
Trade and other payables	26	2 246 001	1 966 500	701	535
Employee benefit obligations	24	190 952	425 840		–
Current tax liabilities		11 288	19 825	–	48
Leases	14	90 453	78 371		–
Borrowings	27	1 744 089	22 332	44 118	44 118
Shareholders for dividend		3 350	3 273	3 350	3 273
		4 286 133	2 516 141	48 169	47 974
Total liabilities		5 091 256	3 652 302	48 169	47 974
Total equity and liabilities		9 110 719	8 438 309	326 689	280 635

Consolidated Statement of Comprehensive Income

for the year ended 30 September 2023

	Notes	GROUP		COMPANY	
		2023 R'000	2022 R'000	2023 R'000	2022 R'000
Revenue	1	19 250 955	19 333 850	300 000	513 000
Cost of sales	2	(17 385 151)	(15 310 513)	–	–
Gross profit		1 865 804	4 023 337	300 000	513 000
Administrative expenses	2	(753 884)	(944 950)	(8 273)	(7 171)
Distribution costs	2	(1 547 573)	(1 412 646)	–	–
Marketing expenditure	2	(327 522)	(292 252)	–	–
Other income	4	136 284	49 457	–	–
Other gains	5	6 016	16 832	–	–
(Loss)/profit before interest and tax		(620 875)	1 439 778	291 727	505 829
Finance income	6	32 524	29 412	10 101	3 155
Finance expense	6	(108 762)	(44 118)	(1)	(79)
(Loss)/profit before tax		(697 113)	1 425 072	301 827	508 905
Tax expense	7	184 913	(370 456)	(2 727)	(989)
(Loss)/profit for the year from continuing operations		(512 200)	1 054 616	299 100	507 916
(Loss)/profit for the year from discontinued operations		–	15 960	–	–
(Loss)/profit for the year		(512 200)	1 070 576	299 100	507 916
Other comprehensive (loss)/income for the year, net of tax		(27 264)	36 315	–	–
Items that may subsequently be reclassified to profit and loss		(39 323)	44 132	–	–
Currency (loss)/gain on investment loans to foreign subsidiaries		(868)	878	–	–
Foreign currency translation (loss)/gain		(38 455)	43 254	–	–
Items that will not be reclassified to profit or loss		12 059	(7 817)	–	–
Re-measurement of post-employment benefit obligations (note 25)		7 257	6 677	–	–
Deferred tax on re-measurement of post-employment benefit obligations		(1 958)	(1 870)	–	–
Transactions with minorities		–	(1 480)	–	–
Changes in fair value of equity instruments		6 760	(11 144)	–	–
Total comprehensive (loss)/income for the year		(539 464)	1 106 891	299 100	507 916
(Loss)/profit for the year attributable to:					
Equity holders of the Company		(512 200)	1 068 397	299 100	507 916
Arising from					
– Continuing operations		(512 200)	1 054 616	299 100	507 916
– Discontinued operations		–	13 781	–	–
Non-controlling interest		–	2 179	–	–
(Loss)/profit for the year		(512 200)	1 070 576	299 100	507 916
Total comprehensive (loss)/income attributable to:					
Equity holders of the Company		(539 464)	1 104 712	299 100	507 916
Arising from					
– Continuing operations		(539 464)	1 090 931	299 100	507 916
– Discontinued operations		–	13 781	–	–
Non-controlling interest		–	2 179	–	–
Total comprehensive (loss)/income for the year		(539 464)	1 106 891	299 100	507 916

Shareholders' information on shares	Notes	Cents per share	Cents per share
(Loss)/earnings per share			
(Loss)/earnings per share	8	(1 333)	2 781
Diluted (loss)/earnings per share	8	(1 333)	2 751
Headline (loss)/earnings per share is a non-IFRS measurement:			
Headline (loss)/earnings per share			
Headline (loss)/earnings per share	9	(1 324)	2 762
Diluted headline (loss)/earnings per share	9	(1 324)	2 733
Dividends			
Dividends declared in respect of the current year's profits	10	–	1 380

Consolidated Statement of Cash Flows

for the year ended 30 September 2023

	Notes	GROUP		COMPANY	
		2023 R'000	2022 R'000	2023 R'000	2022 R'000
Cash flows from operating activities					
Cash operating (loss)/profit	A	(600 563)	1 905 735	291 727	505 829
Changes in working capital	B	(323 155)	(413 382)	257	95
Cash (utilised by)/generated from operations		(923 718)	1 492 353	291 984	505 924
Tax paid	C	(47 119)	(294 454)	(2 780)	(817)
Cash (utilised by)/generated from operating activities		(970 837)	1 197 899	289 204	505 107
Cash (outflows)/inflows from investing activities		(339 289)	(179 189)	14 101	7 149
Purchases of property, plant and equipment	D	(368 044)	(280 271)		
Costs incurred on intangibles		(5 558)	(564)		
Proceeds on disposal of property, plant and equipment		1 789	478		
Proceeds from disposal of controlling interest in subsidiary/Investments	F	–	69 954	4 000	4 000
Finance income		32 524	29 650	10 101	3 155
Dividends received		–	1 564		
Increased investment in Zambian subsidiary through purchase of additional shares		–	–	–	(6)
Cash inflows/(outflows) from financing activities		180 864	(612 817)	(253 165)	(466 509)
Dividends paid to the Company's shareholders	E	(225 997)	(456 692)	(253 164)	(510 548)
Dividends paid to non-controlling shareholders		–	(1 055)		
Lease payments – principal element		(82 070)	(89 661)		
Finance cost paid on lease contracts		(25 479)	(32 105)	–	(79)
Treasury shares acquired in terms of the Forfeitable Share Plan		(13 279)	(26 831)		
Finance expenses paid		(82 233)	(4 993)	(1)	
Transaction with minorities		–	(1 480)	–	–
Inflow from borrowings		600 000			
Proceeds from the sale of treasury shares		9 922	–		
Loans received from subsidiary		–	–	–	44 118
Net (outflow)/inflow of cash and cash equivalents		(1129 262)	405 893	50 140	45 747
Effects of exchange rate changes		(2 409)	13 998	–	–
Disclosed as assets held for sale – opening balance		–	3 435	–	–
Cash and cash equivalents at beginning of year – continuing operations		701 018	277 692	42 547	(3 200)
Cash and cash equivalents at end of year	20	(430 653)	701 018	92 687	42 547